



RRSP, TFSA, and FHSA

How the three Canadian accounts differ

Educational information, not financial advice. This guide explains contribution room, tax treatment, and tracking gaps. It is not a pick of which account to use.

SIDE-BY-SIDE

	RRSP	TFSA	FHSA
Money in	Contribution is deductible.	Contribution is after-tax.	Contribution is deductible.
Growth	Tax-deferred until withdrawn.	Not taxed.	Not taxed.
Money out	Taxed as ordinary income.	Not taxed for a Canadian resident.	Not taxed on a qualifying first-home withdrawal.
2026 room	18% of prior-year earned income, ceiling \$33,810.	\$7,000 for the year, plus unused room.	\$8,000 for the year once the account is open.
After a withdrawal	That contribution room is not restored.	Room returns on January 1 of the next calendar year.	A qualifying withdrawal does not restore FHSA room.
OAS / GIS	Withdrawals count as income.	Withdrawals do not count as income.	A qualifying first-home withdrawal does not count as income.
First home	Home Buyers' Plan: up to \$60,000, with repayment rules.	No dedicated first-home program.	Qualifying withdrawal for a first home. Lifetime room \$40,000.
Clock	Must convert to a RRIF by Dec 31 of the year you turn 71.	No forced withdrawals at a set age.	15-year participation period starts the year you open.

WORKED ILLUSTRATION — NOT A FORECAST

\$10,000 contributed while in a 40% federal+provincial bracket, later withdrawn in a 25% bracket, does not have the same after-tax result in an RRSP as in a TFSA. The gap is the tax treatment — not a projection of returns, and not a pick of which account to use.

Run a hypothetical income on mosaicfinance.ai/calculators/rrsp-vs-tfsa and mosaicfinance.ai/calculators/fhsa. Confirm your own room in CRA My Account.

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2026 limits and clocks

Room, deadlines, and the FHSA 15-year period.

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A snapshot you can fill in

CRA room, match, first home, tracking gaps.

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Questions for a licensed advisor

Take them to a licensed financial advisor.

2026 limits and clocks

Figures below are the 2026 tax-year rules as published for a typical resident of Canada. Your CRA My Account number is the source of truth. Unused room, pension adjustments, and over-contributions change the result.

TFSA

2026 annual limit: \$7,000.

Cumulative if eligible every year since 2009: \$109,000.

New room is added on January 1.

A withdrawal is allowed. That amount of room returns on January 1 of the following year — not the same year.

RRSP

2026 dollar ceiling: \$33,810.

Room is generally 18% of prior-year earned income, minus pension adjustment, plus unused room.

Deadline to contribute for the 2026 tax year: March 1, 2027.

You can claim the deduction in the current year or carry it forward.

FHSA

Annual limit: \$8,000. Lifetime limit: \$40,000.

Unused annual room carries forward up to \$8,000, so one year can be as high as \$16,000, still inside the lifetime cap.

The 15-year participation period starts in the year you open the account. You must close it by the end of the year you turn 71.

Opening starts both the room and the clock. It is not a costless option with no expiry.

RELATED MECHANISMS — NOT A RANKING

Home Buyers' Plan (RRSP): up to \$60,000, with eligibility and repayment rules of its own. CESG on an RESP: 20% on the first \$2,500 contributed in a year, with catch-up room in some years, lifetime CESG of \$7,200, and a \$50,000 lifetime RESP contribution cap. These are separate from the three-account comparison on page 1.

CLOCKS THAT ARE EASY TO MISS

- 1 TFSA and RRSP over-contributions can attract a 1% per-month tax on the excess (RRSP has a \$2,000 lifetime buffer for most adults).
- 2 Beneficiary designations on registered accounts generally override a will. A spouse or common-law partner can be named as TFSA successor holder so the account continues; other beneficiaries receive a payout, not a continuing TFSA.
- 3 Combined federal + provincial rates differ by province. That changes the RRSP vs TFSA tax-treatment math without changing the account rules.
- 4 Group RRSP and defined-contribution pension contributions create a pension adjustment that reduces personal RRSP room.
- 5 CRA My Account TFSA room can lag issuer reporting. Use your own records as well as the CRA figure.

Your snapshot

Fill this from CRA My Account and your own records. The filled page is something you can keep, take to a licensed advisor, or type into Mosaic tracking. Mosaic is not filling it in for you, and a completed page is not a recommendation.

Province _____

Combined marginal bracket (or “not sure”) _____

Employer match on an RRSP or DC pension?

☐ Yes ☐ No ☐ Not sure

First-home buyer under CRA’s FHSA / HBP tests?

☐ Yes ☐ No ☐ Not sure

High-interest balances (cards, unsecured LOC) \$ _____

TFSA contribution room (CRA) \$ _____

RRSP deduction limit (CRA) \$ _____

FHSA opened?

☐ Yes ☐ No

Remaining FHSA room \$ _____

Emergency cash currently sitting inside a TFSA?

☐ Yes ☐ No

TRACKING GAPS WHEN YOU ONLY LOOK AT ONE ACCOUNT

Emergency cash inside a TFSA

A withdrawal this year is allowed. That room does not come back until January 1 of the next calendar year. The brokerage app can still look “fine” because the withdrawal succeeded.

An FHSA that was never opened

Annual FHSA room does not start until the account exists. Unused room can carry forward after opening (capped), but a year with no account is a year with no FHSA room.

Unused RRSP deduction

A contribution and the deduction you claim can sit in different years. The unused deduction is easy to lose in a spreadsheet that only shows account balances.

Brokerage room vs CRA room

The number in an app is not always the CRA figure. Over-contributions are assessed against CRA room, and TFSA records can lag until issuers report.

Questions to bring to a licensed advisor

These are questions, not a to-do list from Mosaic, and not a suggestion of which account to use.

- 1 How does my current combined tax bracket compare with what I might face in retirement?
- 2 Do I have an employer match, and what are the vesting and pension-adjustment rules?
- 3 How do FHSA eligibility and the 15-year participation period apply to my situation?
- 4 What happens to OAS or GIS if RRSP or RRIF income shows up later?
- 5 How should TFSA room and emergency cash be tracked as separate numbers?
- 6 If I have a spouse or common-law partner, how do successor-holder versus beneficiary designations work on each account?
- 7 How does my province change the RRSP vs TFSA tax-treatment math?
- 8 What is the repayment schedule if I have used, or might use, the Home Buyers' Plan?
- 9 Are there over-contribution issues on file with CRA?
- 10 Which of these accounts do I already have, and what is the CRA room on each?

WHEN THIS SNAPSHOT IS NOT ENOUGH

Incorporation or salary-versus-dividend questions, cross-border income or assets, retirement-income timing (CPP, OAS, RRIF), inheritances, blended families, and insurance needs usually require a licensed financial advisor and, where relevant, a tax professional. This PDF does not cover them.



Track these numbers in one place.

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